

Palo Alto Networks (PANW)

\$332.00 (Stock Price as of 06/29/2026)

Price Target (6-12 Months): **\$349.00**

Long Term: 6-12 Months

Zacks Recommendation:

Neutral

(Since: 11/22/24)

Prior Recommendation: Outperform

Short Term: 1-3 Months

Zacks Rank: (1-5)

3-Hold

Zacks Style Scores:

VGM:F

Value: F

Growth: C

Momentum: F

Summary

Palo Alto Networks continues to benefit from higher cybersecurity priority as enterprises deploy AI and look to consolidate vendors onto fewer platforms. Platformization is translating into larger commitments, supported by expanding next-generation security ARR and RPO, and management guidance implies continued growth in the fourth quarter of fiscal 2026. Momentum in Network Security, SASE and Prisma AIRS, along with early execution on the CyberArk and Chronosphere integrations, supports the long-term revenue mix shift toward recurring software and free cash flow. However, softening IT spending amid macroeconomic headwinds may hurt its near-term prospects. Intense competition and deal scrutiny could still slow bookings at times. Acquisition-related expenses due to larger acquired footprint adds integration risks and could dent margins.

Price, Consensus & Surprise⁽¹⁾



Data Overview

52 Week High-Low	\$341.83 - \$139.57
20 Day Average Volume (sh)	8,240,625
Market Cap	\$270.6 B
YTD Price Change	80.2%
Beta	0.94
Dividend / Div Yld	\$0.00 / 0.0%
Industry	Security
Zacks Industry Rank	Top 43% (106 out of 246)

Sales and EPS Growth Rates (Y/Y %)⁽¹⁾



Last EPS Surprise	4.9%
Last Sales Surprise	2.0%
EPS F1 Est- 4 week change	-5.1%
Expected Report Date	08/17/2026
Earnings ESP	0.4%

Sales Estimates (millions of \$)⁽¹⁾

	Q1	Q2	Q3	Q4	Annual*
2027	3,193 E	3,295 E	3,436 E	3,727 E	13,684 E
2026	2,474 A	2,594 A	3,002 A	3,351 E	11,359 E
2025	2,139 A	2,257 A	2,289 A	2,536 A	9,222 A

EPS Estimates⁽¹⁾

	Q1	Q2	Q3	Q4	Annual*
2027	0.92 E	0.97 E	0.97 E	1.10 E	3.99 E
2026	0.93 A	1.03 A	0.85 A	0.96 E	3.71 E
2025	0.78 A	0.81 A	0.80 A	0.95 A	3.34 A

*Quarterly figures may not add up to annual.

1) The data in the charts and tables, including the Zacks Consensus EPS and sales estimates, is as of 06/29/2026.

2) The report's text and the price target are as of 06/30/2026.

Overview

Santa Clara, CA-based Palo Alto Networks, Inc. offers network security solutions to enterprises, service providers and government entities worldwide.

The company's next generation firewall products deliver natively integrated application, user, and content visibility and control through its operating system, hardware and software architecture. It serves the enterprise network security market, which includes Firewall, Unified Threat Management (UTM), Web Gateway, Intrusion Detection and Prevention, and Virtual Private Network technologies. Over time, Palo Alto Networks has expanded its portfolio into multiple security platforms that cover network security, cloud security and security operations, and it also offers threat intelligence and advisory services through Unit 42.

Through its products and subscription services, Palo Alto provides integrated protection against dynamic security threats while simplifying the IT security infrastructure. Its solutions incorporate application-specific integrated circuits, hardware architecture, operating system, and associated security and networking functions.

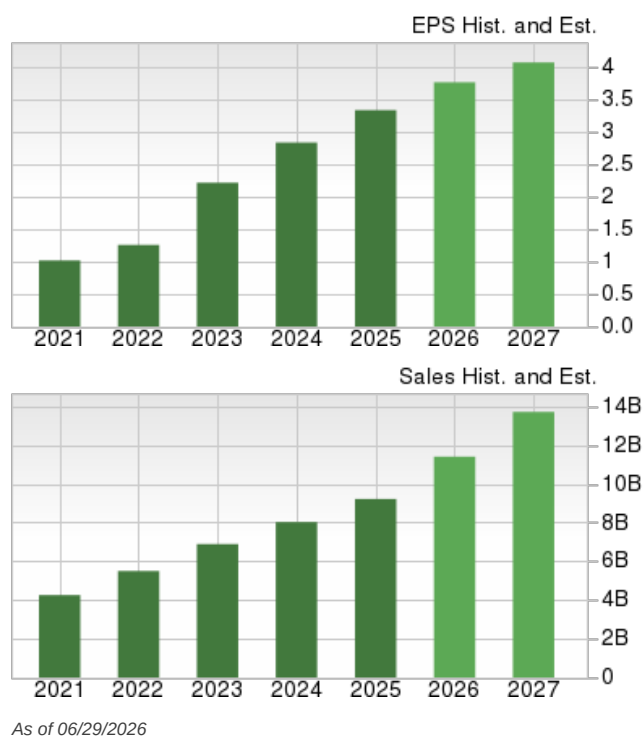
The company's network security gateways protect customer data, reduce security complexities and lower total cost of ownership. Customers can implement their security policies on traffic between internal networks and the Internet, as well as between internal and private networks shared with partners.

The company has a single operating segment. However, the company announces its revenues from products and services separately. For fiscal 2025, the company reported total revenues of \$9.2 billion, which grew 15% year over year.

Palo Alto's fiscal 2025 revenues from its products increased 12.4% year over year to \$1.82 billion. Revenues from subscriptions and support grew 15.5% to \$7.42 billion.

Further, Palo Alto operates across different geographic regions, including the Americas, Europe, the Middle East, and Africa (EMEA) and the Asia-Pacific and Japan (APAC).

The company faces competition from large companies like Cisco, Check Point, Fortinet, CrowdStrike, and several other small companies.



Reasons To Buy:

- ▲ Cyber security has become a mission-critical, high-profile requirement as financial well-being, brands and reputation of enterprises are exposed to sophisticated cyber threats. Palo Alto is growing rapidly in this space on the back of its innovative next-generation security platforms. The company's security platforms have innovative traffic classification engine that helps it in identifying network traffic by application, user and content. As a result, organizations have in-depth visibility into all traffic and applications which help them to control usage, content, risks and cyber threats at the user level. Therefore, Palo Alto's security platforms simplify security infrastructure for organizations by eliminating the need for multiple, stand-alone security appliances and software products. This reduces the total cost of ownership, thereby giving the organization a competitive edge. In fiscal third-quarter 2026, next-generation security ARR rose 60% year over year to \$8.13 billion, and total RPO increased 36% to \$18.4 billion, showing larger commitments across the platform. Excluding CyberArk and Chronosphere, NGS ARR grew 28% and RPO grew 22%, which management tied to platformization and organic bookings momentum. For fiscal fourth-quarter 2026, management guided to NGS ARR of \$8.90-\$8.95 billion and RPO of \$20.9-\$21.0 billion, suggesting continued demand under current market conditions.
- ▲ Network Security remains the company's largest business, and management said it represented about 70% of total revenues in fiscal third-quarter 2026. All Network Security form factors delivered sustained or faster growth in the third quarter, supported by demand for next-generation firewalls and increased software mix. Software firewall ARR grew 25% year over year and management highlighted continued traction in Prisma AIRS and firewall Flex deals, which also lift recurring software content within product revenues. In SASE, ARR reached \$1.6 billion in the third quarter, up 40% year over year, and management said this rate was more than two times the overall market growth rate. It also said SASE net new NGS ARR increased nearly 50% over the trailing 12 months on the back of scale, net new logos and displacement wins. Management noted that recurring software revenues now represent a larger portion of product revenue, with 46% of trailing 12-month product revenue in Q3 coming from recurring software versus 22% three years ago. Product revenue was \$594 million and services revenue was \$2.4 billion in Q3, both up 31% year over year, reflecting the broader shift toward software and recurring revenue within the model. Hardware is still about 10% of total revenue, but the third quarter delivered its best quarter in a decade, and management cited early AI data center wins that helped drive record backlog.
- ▲ Palo Alto has made strategic acquisitions to boost growth. In May 2026, PANW completed its acquisition of Portkey, a company specializing in AI Gateways, to strengthen its AI security offering. PANW aims to use Portkey as the AI Gateway within its Prisma AIRS platform to act as a central system to monitor, control and secure all AI-related activity across an organization. In February 2026, PANW agreed to acquire Koi, a company focused on Agentic Endpoint Security. Through this acquisition, PANW aims to target security risks created by AI agents, tools, plugins and scripts that operate directly on endpoints. In November 2025, the company announced entering an agreement to acquire Chronosphere for \$3.35 billion. The acquisition is expected to aid PANW's prospects by enabling it to provide a unified platform for security and AI-driven observability, directly addressing the data demands of the AI era. In July 2025, the company agreed to acquire CyberArk Software, which is expected to boost Palo Alto's identity and privileged access capabilities amid rising identity and access management (IAM) demand. Earlier in 2025, it acquired Protect AI, which has strengthened its ability to offer comprehensive AI security solutions, particularly in the areas of model scanning, posture management, AI red teaming, runtime protection, and AI agent security. In September 2024, Palo Alto acquired IBM's QRadar SaaS assets. These acquisitions have broadened the company's portfolio and global reach.
- ▲ The CyberArk and Chronosphere additions broaden Palo Alto's addressable markets into identity security and observability, which management views as important in an agentic AI era. Management said CyberArk exceeded internal benchmarks in its first quarter post close, and that joint go-to-market has already initiated about 1,000 cross-organization engagements. It also said it is three to six months ahead of its original timeline for converging CyberArk's profitability with Palo Alto's, and expects to reach that milestone within 12 to 18 months. In observability, management said third-quarter performance was above initial expectations, Chronosphere ARR surpassed \$300 million, and the level nearly doubled since the acquisition announcement as AI workloads increased telemetry demand.
- ▲ Prisma AIRS is becoming a key entry point as customers seek to secure AI applications, agents, models and data sets across environments. Management said AIRS is its fastest-scaling product and reported more than 300 AIRS customers at the end of fiscal third-quarter 2026, up from about 100 at the end of the second quarter. This adoption also supports adjacent product pull-through, as management noted that software firewall ARR grew 25% year over year and cited AIRS and firewall Flex activity as contributors. In addition, management said product revenues increasingly include recurring software drivers such as software firewalls, SD-WAN and identity security subscriptions, which can improve revenue visibility versus a hardware-led model. As enterprise AI adoption expands, management expects AIRS to act as a foundational infrastructure for secure AI deployment, which can support continued ARR growth and platform consolidation.
- ▲ Palo Alto's platform benefits from a telemetry scale that supports AI-assisted detection, investigation and response. Management said the platform processes more than 17 petabytes of daily telemetry, a data foundation that supports training, anomaly detection and faster outcomes. It ended fiscal third-quarter 2026 with more than \$600 million in ARR across a base of 740 customers for its security operations offering, and management highlighted 100% year-over-year ARR growth in that area. Management also said the majority of those customers are now responding to threats in under 10 minutes, versus days or weeks previously, and framed this as a blueprint for the modern security operations center. Over time, these measurable outcomes can support longer deal durations, deeper product adoption, and higher platform attach rates across the installed base.
- ▲ Palo Alto continues to translate growth into cash generation as recurring revenue and scale expand. In fiscal third-quarter 2026, total revenues grew 31% year over year to \$3.0 billion, and adjusted free cash flow was \$910 million versus \$578 million a year ago. Trailing 12-month adjusted free cash flow was \$4.08 billion, up 34% year over year, and trailing 12-month adjusted free cash flow margin expanded 430

Platform consolidation, AI security demand, expanding recurring revenues and cash flow, plus disciplined integration, support steady long-term growth for Palo Alto Networks.

basis points to 38.5%. Management guided to fiscal 2026 revenues of \$11.415-\$11.425 billion, non-GAAP operating margin of 28.9%-29.2%, and adjusted free cash flow margin of 37.5%. As of April 30, 2026, the company reported \$3.11 billion in cash and cash equivalents and short-term investments, which provides flexibility to fund integration, product development and go-to-market priorities.

Reasons To Sell:

- ▼ Palo Alto's near-term prospects might be hurt by ongoing macroeconomic uncertainties. The still-high interest rates, protracted inflationary conditions and rising fuel prices have impacted consumer spending. Meanwhile, enterprises are postponing their large IT spending plans due to a weakening global economy amid ongoing macroeconomic and geopolitical tensions. Some of the cybersecurity players have already pointed out that organizations are delaying or taking more time in finalizing deals or even rightsizing deals in the current uncertain macroeconomic environment. This makes us slightly cautious about Palo Alto's prospects in the near term.
- ▼ To survive in the highly competitive cybersecurity market, each player must continually invest in broadening its capabilities. Over the past few years, Palo Alto has invested heavily to enhance its sales and marketing capabilities, particularly by increasing the sales force. This has raised its operating expenses. In fiscal third-quarter 2026, operating expenses rose to \$2.21 billion from \$1.45 billion a year ago as scale increased and acquisitions added costs. Management guided to a fiscal 2026 non-GAAP operating margin of 28.9-29.2%, but the timing of payback can vary by product cycle. Slower operating leverage would weigh on upside even if revenues remain on plan. Furthermore, though the company foresees these investments to garner benefits over the long run, we note that there is uncertainty about the payback period.
- ▼ Near-term prospects for Palo Alto might be hurt by changing customer behavior. For the past few quarters, various competitors in the cybersecurity space have noticed that the companies have been breaking their cybersecurity investment plans into phases and implementing the same over longer periods of time, instead of making a single large investment. This makes us slightly cautious about the company's near-term performance.
- ▼ Palo Alto faces stiff competition from several big and small players in the security application market. Further, over the past few years, the demand for IT security has been on the rise driven by increasing awareness and cyber attacks, making the market more attractive for new players. Also, there are some established players in the adjacent markets like Cisco, Juniper and Fortinet that can cross sell security products and include security into their existing product lines, further intensifying competition in the space. Therefore, companies must deliver prompt and advanced technologies to suit customer requirements and expedite product launch to stay afloat.
- ▼ Equity dilution effect is expected to significantly hurt Palo Alto Networks' bottom-line performance in the near term. The CyberArk and Chronosphere transactions increased the company's balance sheet and share base, which can dilute per-share metrics. PANW ended third-quarter 2026 with 815 million shares outstanding, and management's fiscal 2026 non-GAAP EPS guidance of \$3.77-\$3.79 assumes 763-766 million diluted shares. The company also reported convertible senior notes of \$1.19 billion on the balance sheet as of April 30, 2026, which adds financial complexity. Even with revenue growth, the larger capital structure can limit near-term EPS upside relative to the pre-acquisition profile.
- ▼ Rising integration costs are likely to weigh on Palo Alto Networks' profitability in the near term. Earlier in 2026, PANW completed two major acquisitions, which include its \$25 billion CyberArk Software buyout and \$3.35 billion Chronosphere acquisition. As a result, the company is incurring high integration-related costs, including onboarding employees, aligning go-to-market teams, and integrating systems and operations. Acquisition-related costs in the second quarter of fiscal 2026 amounted to \$113 million, a whopping increase from \$24 million incurred in the prior quarter. These costs are expected to hurt the company's profitability before the benefits of synergies from acquisitions are fully realized.

Intensifying competition, an uncertain economic environment, along with acquisition integration risks remain key concerns for Palo Alto Networks.

Last Earnings Report

Palo Alto Networks Q3 Earnings and Revenues Surpass Estimates

Palo Alto Networks delivered third-quarter fiscal 2026 non-GAAP earnings of 85 cents per share, which beat the Zacks Consensus Estimate of 81 cents by 4.9%. The figure improved 6.3% year over year.

Palo Alto Networks' earnings beat the Zacks Consensus Estimate in each of the trailing four quarters, with an average surprise of 7.03%.

PANW reported third-quarter fiscal 2026 revenues of \$3 billion, which topped the Zacks Consensus Estimate of \$2.92 billion by 2%. Revenues increased 31% year over year from \$2.29 billion in the year-ago quarter. Management attributed the quarter's strength to accelerating organic bookings momentum as customers turned to the company to secure AI deployments at scale.

PANW's Q3 in Detail

Product revenues increased to \$594 million from \$453 million in the year-ago quarter, accounting for 19.8% of total revenues. Subscription and support revenues, which represented 80.2% of total revenues, rose to \$2.41 billion from \$1.84 billion, reflecting the company's continued shift toward recurring revenues.

Remaining performance obligation (RPO) rose to \$18.4 billion, up 36% year over year, including contributions from CyberArk and Chronosphere. Next-Generation Security ARR climbed to \$8.13 billion, up 60% year over year, supported by platform adoption and growth across the company's next-generation portfolio.

Non-GAAP gross profit grew to \$2.27 billion compared to a non-GAAP gross margin at 75.8%. Non-GAAP operating income increased to \$814 million, while the non-GAAP operating margin remained strong at 27.1%, reflecting continued profitability strength.

PANW's Balance Sheet & Cash Flow

As of April 30, 2026, Palo Alto Networks had \$3.11 billion in cash and cash equivalents and short-term investments.

Cash generation strengthened year over year. Net cash provided by operating activities was \$871 million, up from \$554 million in the prior quarter. Adjusted free cash flow was \$910 million compared with \$502 million in the prior quarter, while the trailing 12-month adjusted free cash flow margin was 38.5%, up 430 basis points year over year.

PANW's FY26 Guidance

For fiscal 2026, Palo Alto Networks now expects revenues in the range of \$11.41 billion to \$11.42 billion, suggesting year-over-year growth of 24%.

RPO is projected to be in the range of \$20.9-\$21.0 billion, while Next-Gen Security ARR is forecasted between \$8.9 billion and \$8.95 billion, implying 59-60% annual growth. The company projects a non-GAAP operating margin in the range of 28.9% to 29.2% and an adjusted free cash flow margin of 37.5%.

PANW's non-GAAP earnings per share (EPS) are expected in the band of \$3.77 to \$3.79.

For the fiscal fourth quarter of 2026, Palo Alto Networks expects revenues in the range of \$3.34 billion to \$3.35 billion, indicating year-over-year growth of 32%.

The company also guided Next-Generation Security ARR to \$8.90 billion to \$8.95 billion, suggesting growth of 59% to 60%, and RPO in the range of \$20.9 billion to \$21.0 billion.

Non-GAAP EPS for the fiscal fourth quarter are projected in the range of 96 cents to 98 cents.

FY Quarter Ending 7/31/2025

Earnings Reporting Date	Jun 02, 2026
Sales Surprise	2.00%
EPS Surprise	4.94%
Quarterly EPS	0.85
Annual EPS (TTM)	3.76

Recent News

On June 24, Palo Alto Networks expanded Project Lightwell with IBM and Red Hat, integrating virtual patching and software remediation to help organizations identify vulnerabilities and reduce exposure to emerging cyber threats.

On June 9, Palo Alto Networks partnered with Deutsche Telekom to launch Sovereign Cortex with T Security, delivering AI-driven security operations with enhanced data sovereignty controls for regulated European industries.

On May 29, Palo Alto Networks completed its acquisition of Portkey, expanding its Prisma AIRS platform with capabilities to monitor, orchestrate and govern AI agents at scale.

On May 12, Palo Alto Networks launched Idira, an identity security platform designed to manage and secure human, machine and AI agent identities across enterprises.

On April 30, Palo Alto Networks announced plans to acquire Portkey to strengthen AI agent security through a centralized gateway platform.

On April 14, Palo Alto Networks completed its acquisition of Koi to launch a new Agentic Endpoint Security category focused on protecting AI agents and autonomous tools.

On March 23, Palo Alto Networks launches Prisma AIRS 3.0, which secures the entire Agentic AI lifecycle. This will help enterprises to move from simply observing AI interactions to safely authorizing autonomous execution. Same day, the company also unveiled a major evolution of Prisma Browser, introducing the industry's most secure browser built for the Agentic AI era.

Valuation

Shares of Palo Alto Networks have gained 80.2% year to date (YTD) and jumped 68% in the trailing 12 months. Stocks in the Zacks sub-industry have appreciated 49.8%, and the Zacks Computer & Technology sector has returned 12.8% YTD. In the trailing 12 months, the Zacks sub-industry has appreciated 31.8%, while the sector returned 34.6%.

The S&P 500 Index has returned 7.3% YTD and 22% in the trailing 12 months.

The stock is currently trading at 20.01X forward 12-month sales, which compares with 16.34X for the Zacks sub-industry, 6.35X for the Zacks sector and 4.99X for the S&P 500 index.

Over the past five years, the stock has traded as high as 20.01X and as low as 5.35X, with a five-year median of 10.11X. Our Neutral recommendation indicates that the stock will perform in line with the market. Our \$349 price target reflects 21.01X forward 12-month sales.

The table below shows a summary of valuation data for PANW.

Valuation Multiples - PANW					
		Stock	Sub-Industry	Sector	S&P 500
P/S F12M	Current	20.01	16.34	6.35	4.99
	5-Year High	20.01	19.29	7.39	5.62
	5-Year Low	5.35	6.81	4.33	3.79
	5-Year Median	10.11	11.32	6.28	5.01
P/B TTM	Current	9.78	27.23	9.82	7.93
	5-Year High	525.87	57.21	11.74	9.09
	5-Year Low	5.28	14.65	6.64	6.54
	5-Year Median	37.76	33.38	9.74	8.01
EV/Sales TTM	Current	25.22	20.01	8.22	5.74
	5-Year High	25.22	23.31	9.01	5.97
	5-Year Low	6.28	8.07	4.23	3.73
	5-Year Median	11.74	13.42	6.97	5.08

As of 06/29/2026

Source: Zacks Investment Research

Industry Analysis⁽¹⁾ Zacks Industry Rank: Top 43% (106 out of 246)



Top Peers⁽¹⁾

Company (Ticker)	Rec	Rank
Check Point Software Technologies Ltd. (CHKP)	Neutral	3
CrowdStrike (CRWD)	Neutral	4
Fortinet, Inc. (FTNT)	Neutral	3
Okta, Inc. (OKTA)	Neutral	3
Qualys, Inc. (QLYS)	Neutral	3
SentinelOne, Inc. (S)	Neutral	2
Varonis Systems, Inc. (VRNS)	Neutral	3
Zscaler, Inc. (ZS)	Neutral	3

Industry Comparison ⁽¹⁾ Industry: Security				Industry Peers		
	PANW	X Industry	S&P 500	CHKP	CRWD	FTNT
Zacks Recommendation (Long Term)	Neutral	-	-	Neutral	Neutral	Neutral
Zacks Rank (Short Term)	3	-	-	3	4	3
VGM Score	F	-	-	D	C	C
Market Cap	270.58 B	22.25 B	43.46 B	13.60 B	189.12 B	113.87 B
# of Analysts	21	11	22	15	16	17
Dividend Yield	0.00%	0.00%	1.42%	0.00%	0.00%	0.00%
Value Score	F	-	-	C	F	F
Cash/Price	0.01	0.12	0.04	0.20	0.03	0.03
EV/EBITDA	109.74	39.21	14.06	12.47	293.26	40.29
PEG Ratio	6.62	3.07	1.85	3.07	5.44	3.78
Price/Book (P/B)	9.78	9.40	3.57	4.83	40.45	114.97
Price/Cash Flow (P/CF)	110.83	50.17	14.35	11.27	253.44	50.17
P/E (F1)	61.59	46.87	18.19	12.31	150.62	49.58
Price/Sales (P/S)	25.51	7.01	3.10	4.93	37.12	16.02
Earnings Yield	1.14%	2.15%	5.45%	8.12%	0.66%	2.01%
Debt/Equity	0.04	0.16	0.57	0.70	0.16	0.50
Cash Flow (\$/share)	3.00	3.00	9.62	11.43	2.93	3.10
Growth Score	C	-	-	D	A	A
Hist. EPS Growth (3-5 yrs)	65.13%	36.53%	6.97%	11.53%	NA	43.81%
Proj. EPS Growth (F1/F0)	64.07%	16.78%	10.91%	-12.03%	32.17%	13.41%
Curr. Cash Flow Growth	13.95%	16.07%	8.27%	22.44%	12.99%	16.07%
Hist. Cash Flow Growth (3-5 yrs)	34.44%	30.14%	9.05%	6.06%	105.87%	30.14%
Current Ratio	0.86	1.44	1.18	1.85	1.53	1.15
Debt/Capital	4.13%	13.76%	38.62%	41.22%	13.76%	33.42%
Net Margin	7.95%	7.95%	12.92%	38.37%	-0.89%	27.49%
Return on Equity	10.53%	4.15%	17.22%	38.79%	2.29%	160.08%
Sales/Assets	0.36	0.44	0.53	0.41	0.49	0.71
Proj. Sales Growth (F1/F0)	-11.50%	17.89%	6.76%	3.50%	23.50%	14.60%
Momentum Score	F	-	-	F	F	B
Daily Price Chg	9.14%	4.10%	1.18%	-1.00%	5.97%	2.69%
1 Week Price Chg	5.71%	5.93%	-0.43%	6.31%	2.37%	4.57%
4 Week Price Chg	10.49%	-5.02%	-2.10%	-7.41%	-5.02%	5.63%
12 Week Price Chg	105.00%	63.00%	12.53%	-13.12%	86.38%	88.87%
52 Week Price Chg	62.24%	-8.48%	19.91%	-41.81%	45.87%	47.01%
20 Day Average Volume	8,240,625	3,768,306	3,389,468	1,251,785	3,429,137	6,748,942
(F1) EPS Est 1 week change	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
(F1) EPS Est 4 week change	-5.05%	0.00%	0.00%	0.00%	-8.72%	0.50%
(F1) EPS Est 12 week change	-5.05%	1.67%	0.81%	-1.38%	-7.92%	6.41%
(Q1) EPS Est Mthly Chg	-7.87%	0.00%	0.00%	0.00%	-11.80%	0.00%

Zacks Stock Rating System

We offer two rating systems that take into account investors' holding horizons: Zacks Rank and Zacks Recommendation. Each provides valuable insights into the future profitability of the stock and can be used separately or in combination with each other depending on your investment style.

Zacks Recommendation

The Zacks Recommendation aims to predict performance over the next 6 to 12 months. The foundation for the quantitatively determined Zacks Recommendation is trends in the company's estimate revisions and earnings outlook. The Zacks Recommendation is broken down into 3 Levels; Outperform, Neutral and Underperform. Unlike many Wall Street firms, we have an excellent balance between the number of Outperform and Neutral recommendations. Our team of 70 analysts are fully versed in the benefits of earnings estimate revisions and how that is harnessed through the Zacks quantitative rating system. But we have given our analysts the ability to override the Zacks Recommendation for the 1200 stocks that they follow. The reason for the analyst over-rides is that there are often factors such as valuation, industry conditions and management effectiveness that a trained investment professional can spot better than a quantitative model.

Zacks Rank

The Zacks Rank is our short-term rating system that is most effective over the one- to three-month holding horizon. The underlying driver for the quantitatively-determined Zacks Rank is the same as the Zacks Recommendation, and reflects trends in earnings estimate revisions.

Zacks Style Scores

The Zacks Style Score is as a complementary indicator to the Zacks rating system, giving investors a way to focus on the highest rated stocks that best fit their own stock picking preferences.

Academic research has proven that stocks with the best Value, Growth and Momentum characteristics outperform the market. The Zacks Style Scores rate stocks on each of these individual styles and assigns a rating of A, B, C, D and F. We also produce the VGM Score (V for Value, G for Growth and M for Momentum), which combines the weighted average of the individual Style Scores into one score. This is perfectly suited for those who want their stocks to have the best scores across the board.

Value Score	F
Growth Score	C
Momentum Score	F
VGM Score	F

As an investor, you want to buy stocks with the highest probability of success. That means buying stocks with a Zacks Recommendation of Outperform, which also has a Style Score of an A or a B.

Disclosures

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